

Chapter 14

Investing Directly in Cryptoassets: Mining, Exchanges, and Wallets

Today, investors have many avenues for purchasing bitcoin and other cryptoassets. Options will continue to evolve, but broadly there are two main considerations: how to acquire cryptoassets and how to store them. Since cryptoassets are digital bearer instruments, they are unlike many other investments that are held by a centralized custodian. For example, regardless of which platform an investor uses to buy stocks, there is a centralized custodian who is “housing” the assets and keeping track of the investor’s balance.¹ With cryptoassets, the innovative investor can opt for a similar situation or can have full autonomy and control in storage. The avenue chosen depends on what the innovative investor most values, and as with much of life, there are always trade-offs.

MINING